

MY EXPERT CREDENTIALS

RIGHT AWAY, LET ME SHARE MY QUALIFICATIONS, TRAINING, and general suitability for this challenge—this being the place most authors of works like this lay out their credentials, such as “veteran of Wall Street” or “hottest commodities trader from Chicago” or “became a millionaire in stock options,” and so on. Before this project, what I knew most about money was how to lose it. In fact, I could claim an unerring instinct for personal speculative failure, based on the following solid evidence.

Before I married into a modest portfolio, I had no capital to invest at all. Well, that’s not entirely accurate. Once in the 1960s, I opted for some long-term capital growth—which I was told was a mature thing to do. Somehow I managed to spare enough cash to buy two shares of Technical Tape at \$14 a share. These were worth \$4 apiece twenty years later. The two shares, plus some worthless employee stock from a liberal magazine in perpetual Chapter 11, were the only investment assets for which I could take sole credit.

A decade or so ago, in the mid-1970s, I began to apply my talents to the spousal holdings, which was too bad for them. An acquaintance with a seat on the American Stock Exchange proposed an IBM option spread, where you buy the June “call” and sell the October “put” simultaneously. Until then, I would have thought a June call was a duck whistle and an October put a geranium bulb. Asking questions only made things worse. There wasn’t much risk, my advisor said, as long as IBM was going up or sliding sideways.

On this reassurance, I went ahead and bought the Junes and